Task 1: Campaign Viability Analysis

Q1: Unit Economics

Given

1. Selling Price = 800
2. COGS = 280
3. Amazon Fee = 12%
4. Ad Spend = 3,00,000
5. Ad Units = 1,500

Gross Margin

800 − 280 = 520

Amazon Fee

800 × 12% = 96

Ad Cost Per Unit

3,00,000 / 1,500 = 200

Net Margin Per Ad Unit

520 − 96 − 200

= 224

Q2: Monthly Profitability

Organic Margin Per Unit

520 − 96

= 424

Ad Profit

224 × 1,500

= 3,36,000

Organic Profit

424 × 2,000

= 8,48,000

Total Contribution

3,36,000 + 8,48,000

= 11,84,000

Monthly Profit

11,84,000 − 1,50,000

= 10,34,000

Monthly Profit = 10.34 Lakhs

Q3: ACOS and TACOS

ACOS

$$\frac{300000}{800 \times 1500} \times 100$$

= 25%

Total Revenue

800 × 3,500

= 28,00,000

TACOS

$$\frac{300000}{2800000} \times 100$$

= 10.71%

Interpretation

1. ACOS of 25% is healthy.
2. TACOS of 10.71% is very healthy.
3. Strong organic sales reduce dependency on paid advertising.
4. Business is generating strong profits.

Q4: Break-Even Ad Spend

Break-even occurs when profit equals zero.

Maximum Affordable Ad Spend:

13,34,000 per month

Corresponding ACOS:

$$\frac{1334000}{1200000} \times 100$$

= 111%

This indicates the current advertising spend is well below the break-even threshold.

Q5: ACOS Increases to 40%

Ad Revenue

$$\frac{300000}{0.40}$$

=7,50,000

Ad Units

1,200

Ad Cost Per Unit

300000 / 1200

= 250

Net Margin

520 − 96 − 250

= 174

Ad Profit

174 × 1200

= 2,08,800

Organic Profit

424 × 2000

= 8,48,000

Total Profit

2,08,800 + 8,48,000 − 1,50,000

= 9,06,800

Q6: Scaling Up

New Ad Spend

6,00,000

New Ad Units

2,500

Ad Cost Per Unit

600000 ÷ 2500

= 240

Net Margin

520 − 96 − 240

= 184

Ad Profit

184 × 2500

= 4,60,000

Organic Profit

424 × 2000

= 8,48,000

Monthly Profit

4,60,000 + 8,48,000 − 1,50,000

= 11,58,000

Task 3A: Weekly Account Status Update

FreshBasket

FreshBasket continues to perform well, maintaining a healthy ROAS of 4.2. The client is generally happy with the account performance and the results being achieved. During this week's discussion, they requested additional clarification on some columns in the daily spend report. This suggests that while performance is strong, there may be an opportunity to make reporting more intuitive and easier to understand.

UrbanPulse

UrbanPulse remains below its target ROAS, currently achieving 2.1 against the desired benchmark of 3.0. Over the past week, significant effort was dedicated to keyword restructuring, competitor research, and negative keyword optimization. Despite these actions, the client has not yet seen noticeable improvements in performance and is beginning to question the effectiveness of the ongoing work. During competitor analysis, it was also observed that competing brands are using stronger product imagery, which may be impacting UrbanPulse's conversion rates.

NestWell

NestWell continues to deliver stable results with a ROAS of 3.5, meeting performance expectations. Similar to FreshBasket, the client expressed some confusion regarding specific metrics within the daily spend reports. Additionally, the client currently sells on Flipkart, which could present an opportunity to expand our support beyond Amazon advertising and strengthen the overall partnership.

Key Insights Across Accounts

1. Both FreshBasket and NestWell raised similar questions about reporting metrics, indicating that our reporting format may need simplification or additional explanations.
2. UrbanPulse received the highest level of account management effort this week, yet the client perceives the least value. This highlights the importance of communicating actions and progress more effectively.
3. NestWell's presence on Flipkart suggests a potential opportunity to offer additional marketplace advertising support and increase account value.

Task 3B: MD-Level Discussion Points – UrbanPulse

Current Business Situation

UrbanPulse operates in a highly competitive grooming category where customer acquisition costs are increasing across the market. While advertising performance is currently below expectations, foundational improvements are being implemented to build stronger long-term performance rather than pursuing short-term gains.

Growth Opportunities

Improve Conversion Rates

Initial analysis suggests that competitor products are supported by stronger product images and listing content. Enhancing these elements could increase conversion rates and improve advertising efficiency.

Expand Advertising Coverage

Beyond Sponsored Products, UrbanPulse could benefit from testing Sponsored Brands and Sponsored Display campaigns to improve visibility and strengthen brand awareness.

Marketplace Expansion

The business may consider expanding its marketplace presence beyond Amazon to platforms such as Flipkart, creating additional revenue streams and reducing dependency on a single channel.

Strengthen Organic Growth

Investing in better content, customer reviews, and listing optimization can improve organic rankings, leading to sustainable growth and reduced advertising dependency over time.

Strategic Discussion Questions

- What revenue growth goals has UrbanPulse set for the next 12 months?
- Is the current priority aggressive growth, profitability, or a balance between both?
- Are there plans to introduce new products or expand into adjacent categories?
- Would the business be open to testing additional ecommerce marketplaces to accelerate growth?